

Tentative Rulings for Department 502

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Tentative Ruling

Re: ***Blair v. Sunrun Installation Services, Inc. et al.***
Superior Court Case No. 26CECG00082

Hearing Date: September 3, 2026 (Dept. 502)

Motion: By Defendant Sunrun Installation Services Inc. to Compel Arbitration and Stay Action

Tentative Ruling:

To grant the motion to compel arbitration as to plaintiffs' claims against Sunrun Installation Services Inc., and to stay plaintiffs' claims against Sunrun Installation Services Inc. pending arbitration. However, the fee-shifting clause from the arbitration provision is deemed severed from the contract.

To stay the claims against Goodleap, LLC pending the arbitration.

Explanation:

Defendant Sunrun Installation Services Inc. ("Defendant") moves to compel arbitration against plaintiffs John Blair and Tami Cox ("Cox", collectively "Plaintiffs").

The Existence of an Arbitration Agreement

Pursuant to California Code of Civil Procedure section 1281.2, "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement. (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact." (Civ. Proc. Code § 1281.2, paragraph breaks omitted.)

"[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and, if any defense to its enforcement is raised, whether it is enforceable. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement - either fraud in the execution voiding the agreement, or a statutory defense of waiver or revocation (see § 1281.2, subds. (a), (b)) - that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense." (*Rosenthal v. Great Western Fin. Securities*

Corp. (1996) 14 Cal. 4th 394, 413.) Thus, in ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534.)

By its terms, the agreement is governed by the Federal Arbitration Act ("FAA"), 9 U.S.C. § 1, et seq. Section 2 of the FAA provides for enforcement of arbitration provisions in any contract "evidencing a transaction involving commerce." (9 U.S.C. § 2.) To determine whether there is an enforceable arbitration agreement, courts apply state law principles related to formation, revocation, and enforcement of contracts. (*Banner Entertainment, Inc. v. Alchemy Filmworks, Inc.* (1998) 62 Cal.App.4th 348, 357.) Moving defendants are not required to submit evidence of impact on interstate commerce to establish FAA preemption. (See *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 157; *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 387, 394.) Plaintiffs do not challenge the governance of the FAA.

Here, Defendant has met the burden of establishing the existence of an agreement to arbitrate the claims raised in Plaintiff's Complaint. Defendant presents a verified copy of the contractual agreement that includes an arbitration clause. (Molton Decl., Exh. A.) Cox signed the agreement and initialed the arbitration clause. (*Id.*, ¶¶ 9, 11, Exh. A.)

Plaintiffs do not contest the existence of the agreement. However, Plaintiffs argue that all clauses of the arbitration agreement are unenforceable because the arbitration agreement violates Code of Civil Procedure section 1284.3.

Code of Civil Procedure Section 1284.3

Code of Civil Procedure section 1284.3, subdivision (a) states:

No neutral arbitrator or private arbitration company shall administer a consumer arbitration under any agreement or rule requiring that a consumer who is a party to the arbitration pay the fees and costs incurred by an opposing party if the consumer does not prevail in the arbitration, including, but not limited to, the fees and costs of the arbitrator, provider organization, attorney, or witnesses.

The pertinent part of the contract states, "THE ARBITRATOR MAY, IN THE AWARD, ALLOCATE ALL OR PART OF THE COSTS OF THE ARBITRATION, INCLUDING THE FEES OF THE ARBITRATOR AND THE REASONABLE ATTORNEY FEES OF THE PREVAILING PARTY." This fee-shifting clause, as written, does not have any limitations on its applicability. A result contrary to Code of Civil Procedure section 1284.3, subdivision (a) is possible. Although Defendant refers to the JAMS Rules, this fee-shifting clause is separate of the JAMS rules. Therefore, the clause violates Code of Civil Procedure section 1284.3, subdivision (a).

Plaintiffs argue that due to the clause violating Code of Civil Procedure section 1284.3, subdivision (a), all of the clauses pertaining to arbitration are invalid and unenforceable. However, the fee-shifting provision is collateral to the contract and can be severed without affecting any of the other provisions of the contract. Plaintiffs provide

no other basis to challenge the agreement to arbitrate in the contract. Accordingly, the motion to compel arbitration is granted, Plaintiffs claims are stayed pending arbitration, but the fee-shifting provision is severed from the contract.

Finally, with regards to the claims against Goodleap, LLC ("Goodleap"). Goodleap has not been served. The court therefore has no jurisdiction over Goodleap. Accordingly, the motion to compel arbitration with regards to Defendant's claims is granted, Plaintiffs' claims against Defendant are stayed pending arbitration, and, pursuant to Code of Civil Procedure section 1281.2, Plaintiffs' claims against Goodleap are stayed pending the arbitration.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By:  **on** 9-2-26 .

(Judge's initials) (Date)